

|                                                                                   |                                                                                                                                                                        |                   |                                     |  |
|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|-------------------------------------|--|
|  | Case Name: <b>Timber House</b>                                                                                                                                         | Sector            | Construction (Residential Building) |  |
|                                                                                   | <b>OR-AS</b><br>Operations Research - Applications and Solutions<br><a href="http://www.or-as.be">www.or-as.be</a><br><a href="mailto:info@or-as.be">info@or-as.be</a> | Baseline Schedule | Schedule with resources             |  |
|                                                                                   |                                                                                                                                                                        |                   | Schedule with costs                 |  |
|                                                                                   |                                                                                                                                                                        | Risk Analysis     | Random simulation                   |  |
|                                                                                   |                                                                                                                                                                        |                   | One of nine std. scenarios          |  |
| Submitted by                                                                      | N/A                                                                                                                                                                    |                   | User defined distributions          |  |
| Date                                                                              | June 28, 2013                                                                                                                                                          | Project Control   | Automatic tracking                  |  |
| File Name                                                                         | C2013-08 Timber House.p2x                                                                                                                                              |                   | Tracking based on user input        |  |

## 1. Project description

Project authenticity

The construction of a luxurious timber house for residential purposes.

The project consists of activity and cost data that were obtained directly from the actual project owner.

## 2. Project properties

### 2.1. Baseline Schedule

| General                    |           |
|----------------------------|-----------|
| # Activities               | 42        |
| Planned Duration (PD)      | 216 days* |
| Budget At Completion (BAC) | 501.030 € |
| Renewable Resources        | -         |
| Consumable Resources       | -         |

\* standard eight-hour working days

| Network topology           |     |
|----------------------------|-----|
| Serial/Parallel (SP)       | 29% |
| Activity Distribution (AD) | 45% |
| Length of Arcs (LA)        | 0%  |
| Topological Float (TF)     | 46% |

### 2.2. Risk Analysis

Random simulation by ProTrack was performed using the default symmetric triangular risk distribution profiles.

|         | Cost sensitivity |             |          |
|---------|------------------|-------------|----------|
|         | avg [%]          | std dev [%] | skew [-] |
| CRI-r   | 0.0              | 0.0         | N/A      |
| CRI-rho | 100.0            | 0.0         | N/A      |
| CRI-tau | 100.0            | 0.0         | N/A      |

|         | Resource sensitivity |             |          |
|---------|----------------------|-------------|----------|
|         | avg [%]              | std dev [%] | skew [-] |
| CRI-r   | N/A                  | N/A         | N/A      |
| CRI-rho | N/A                  | N/A         | N/A      |
| CRI-tau | N/A                  | N/A         | N/A      |

|         | Time sensitivity |             |          |
|---------|------------------|-------------|----------|
|         | avg [%]          | std dev [%] | skew [-] |
| CI      | 24.3             | 34.0        | 1.2      |
| SI      | 43.0             | 39.7        | 0.3      |
| SSI     | 5.7              | 13.8        | 3.9      |
| CRI-r   | 12.3             | 12.5        | 3.1      |
| CRI-rho | 14.7             | 13.8        | 2.3      |
| CRI-tau | 27.4             | 17.3        | 1.5      |

The remarkable results for cost sensitivity can be explained by the absence of variable activity costs.

## 2.3. Project Control

### 2.3.1. Simulated forecasting accuracy

The accuracy of time and cost forecasting methods has been evaluated based on Monte Carlo simulation runs using the risk profiles described in section “2.2. Risk Analysis”. Based on these risk profiles, the Mean Absolute Percentage Error (MAPE) and Mean Percentage Error (MPE) has been calculated to evaluate the expected accuracy of the time and cost predictions, EAC(t) and EAC, respectively.

| Simulated EAC(t) accuracy |          |          | Simulated EAC accuracy |          |         |
|---------------------------|----------|----------|------------------------|----------|---------|
| method - PF               | MAPE [%] | MPE [%]  | method (PF)            | MAPE [%] | MPE [%] |
| PV - 1                    | 68.2     | 35.3     | 1                      | N/A      | N/A     |
| PV - SPI                  | 99.4     | 99.4     | CPI                    | N/A      | N/A     |
| PV - SCI                  | 99.4     | 99.4     | SPI                    | N/A      | N/A     |
| ED - 1                    | 51,398.1 | 51,398.1 | SPI(t)                 | N/A      | N/A     |
| ED - SPI                  | 99.4     | 99.4     | SCI                    | N/A      | N/A     |
| ED - SCI                  | 99.4     | 99.4     | SCI(t)                 | N/A      | N/A     |
| ES - 1                    | 18.1     | -17.0    | 0.8 CPI + 0.2 SPI      | N/A      | N/A     |
| ES - SPI(t)               | 32.5     | 28.7     | 0.8 CPI + 0.2 SPI(t)   | N/A      | N/A     |
| ES - SCI(t)               | 32.5     | 28.7     |                        |          |         |

According to the MAPE values<sup>1</sup> the best performance for time forecasting can be expected from the unweighted Earned Schedule method. Cost forecasting is not relevant since there are only fixed activity costs in this project.

### 2.3.2. Tracking description

Tracking authenticity

Manual tracking was performed over 13 tracking periods with irregular lengths varying from approximately a couple of days to four months. The Real Duration and Real Cost mentioned in section “2.3.3. Earned Value Management” are based on manual user input.

The tracking information obtained from the project owner and introduced in ProTrack includes actual activity start dates, durations and costs.

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<sup>1</sup> The MAPE gives the best indication for the forecast accuracy (the lower the MAPE, the more accurate the method) since all deviations from the targeted real duration (real cost) are cumulated, whereas for the MPE underestimates can be compensated by overestimates and vice versa, possibly leading to an overly positive evaluation of a certain method. However, the MPE can provide useful information about the nature of the deviations, i.e. does the method rather underestimate or overestimate the real duration (real cost)?

### 2.3.3. Earned Value Management

#### 2.3.3.1. Performance metrics

|         | CV [€]  | SV [€]  | SV(t) [d] | CPI [-] | SPI [-] | SPI(t) [-] | p-factor [-] |
|---------|---------|---------|-----------|---------|---------|------------|--------------|
| avg     | -21,913 | -26,727 | -12.08    | 0.95    | 0.94    | 0.94       | 0.99         |
| std dev | 20,436  | 36,792  | 11.19     | 0.03    | 0.08    | 0.05       | 0.02         |
| final   | -75,595 | 0       | -19.00    | 0.87    | 1.00    | 0.92       | 1.00         |

#### 2.3.3.2. Time forecasting

|    |          |               |          |      |       |
|----|----------|---------------|----------|------|-------|
| PD | 216 days | Real Duration | 235 days | Late | 8.80% |
|----|----------|---------------|----------|------|-------|

| EAC(t)      |         |             | Real Accuracy |         |
|-------------|---------|-------------|---------------|---------|
| method - PF | avg [d] | std dev [d] | MAPE [%]      | MPE [%] |
| PV - 1      | 227.52  | 15.84       | 6.8           | -3.2    |
| PV - SPI    | 232.52  | 23.65       | 7.7           | -1.1    |
| PV - SCI    | 244.73  | 26.03       | 8.6           | 4.1     |
| ED - 1      | 229.84  | 13.88       | 5.3           | -2.2    |
| ED - SPI    | 235.30  | 22.59       | 6.5           | 0.1     |
| ED - SCI    | 237.33  | 23.81       | 6.7           | 1.0     |
| ES - 1      | 228.09  | 11.20       | 4.9           | -2.9    |
| ES - SPI(t) | 230.60  | 13.81       | 5.4           | -1.9    |
| ES - SCI(t) | 232.49  | 14.29       | 5.3           | -1.1    |

#### 2.3.3.3. Cost forecasting

|     |           |           |           |             |        |
|-----|-----------|-----------|-----------|-------------|--------|
| BAC | 501.030 € | Real Cost | 576.624 € | Over Budget | 15.09% |
|-----|-----------|-----------|-----------|-------------|--------|

| EAC                  |         |             | Real Accuracy |         |
|----------------------|---------|-------------|---------------|---------|
| method (PF)          | avg [€] | std dev [€] | MAPE [%]      | MPE [%] |
| 1                    | 522.943 | 20.436      | 9.3           | -9.3    |
| CPI                  | 527.432 | 19.607      | 8.5           | -8.5    |
| SPI                  | 532.748 | 23.438      | 7.6           | -7.6    |
| SPI(t)               | 528.47  | 21.291      | 8.4           | -8.4    |
| SCI                  | 537.738 | 24.451      | 6.7           | -6.7    |
| SCI(t)               | 533.243 | 21.32       | 7.5           | -7.5    |
| 0.8 CPI + 0.2 SPI    | 528.318 | 19.758      | 8.4           | -8.4    |
| 0.8 CPI + 0.2 SPI(t) | 527.582 | 19.715      | 8.5           | -8.5    |